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# Monthly Gold Monitor

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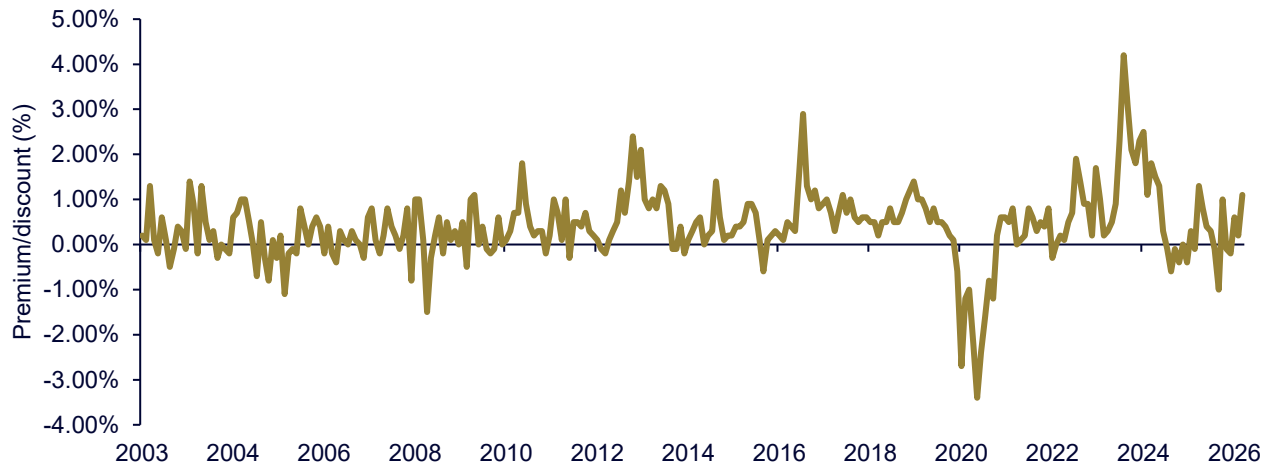
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## The oil price shock may be a temporary gold market headwind...but could exacerbate structurally bullish tailwinds in the medium term

- “Down but not out” is how we frame the historic gold market volatility of 1Q 2026. We maintain a 50% base case projection of US\$4,750-5,500/oz into year-end and believe gold is still in the middle innings of a bull cycle. We reduce odds of the US\$5,500-6,250/oz bull case range from 35% to 30% but think that US\$4,000-4,100 will hold as a floor on the market and that ATHs could be re-tested into 2027. The bear case range of US\$4,000-4,750, where trading ended March, is a 20% probability in our outlook (path dependent on the evolution of energy prices and the Fed reaction function).
- The Grey Swan tail risk of triple-digit crude oil prices, which we highlighted in January, has arrived. Gold has not been immune to this energy price shock which has rippled across asset markets. While geopolitical risk often buttresses gold investment demand, the sharp reversal of macro tailwinds that supported gold in January-February (e.g. weaker US\$; expectations of Fed easing; declining real interest rates; etc. al) overwhelmed the safe haven bid for gold. Combined with some profit-taking and gold being used as a liquidity sleeve, gold underperformed both risky assets and the 60/40 portfolio for the first time since last July.<sup>1</sup> Indeed, spot bullion in March suffered its steepest monthly price decline in both simple and lognormal terms since the 2008 Financial Crisis.<sup>2</sup>
- But has the yellow metal fallen too far, too fast? Money markets that were pricing ~58 basis points of cumulative easing in 2026 just before the Iran conflict now expect the Fed to remain on hold for the balance of the year.<sup>3</sup> However, in mid-late March, expectations for a Fed hike this year were at one point above 60%!<sup>4</sup> In volatile markets, expectations can shift rapidly. While a prolonged conflict that sends ICE Brent prices north of US\$150/bbl would likely weigh on gold through the Fed and dollar channel, it would also increase the odds of recession or stagflation. Meanwhile, oil prices normalizing to US\$80-85/bbl could quickly send gold prices back above US\$5,000/oz, in our view.
- Some of the structural factors that have supported the gold market run in 2024-2025 – specifically larger sovereign debt burdens and wider fiscal deficits – could be exacerbated by the current conflict. The latest CBO projections imply net interest payments on US federal debt will exceed \$1T this year for the first time on record,<sup>5</sup> and that was before the recent back-up in Treasury yields.
- China is also buying the gold market dip.<sup>6</sup> Will Western investors follow suit? In our *Chart of the Month* we highlight resilient gold demand trends in China, even in this high price regime.

### Chart of the Month: China onshore gold price premium/discount trend

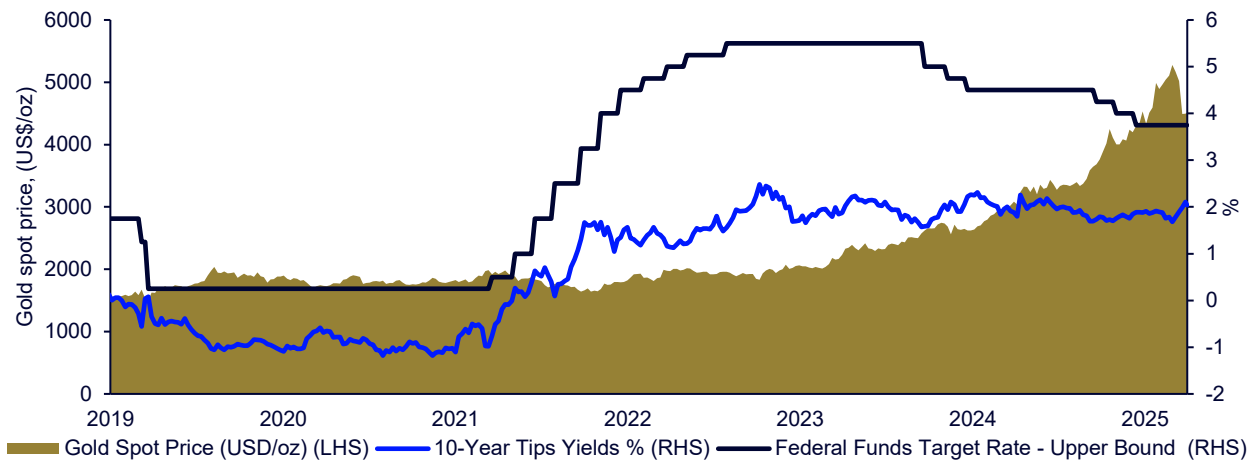


Source: Shanghai Gold Exchange, LBMA, State Street Investment Management (2003-1Q 2026). **The performance data quoted represents past performance. Past performance does not guarantee future results.**

### China bullion buying helps blunt Western selling pressure

- It is important to remember that gold is a “global” commodity asset. While financial trading is often associated with New York and London exchanges and spot markets, Asian bullion consumers help drive physical demand, particularly across mainland China. To that end, there have been several positive signposts from China throughout 1Q that could structurally support a high gold price regime or at least put a floor underneath the market at US\$4,000-4,750/oz.
- Monthly onshore price premiums jumped to US\$50/oz in March or 1.0% above LBMA trading.<sup>7</sup> That is the strongest average Chinese gold price premium since April 2025 and the immediate aftermath of US Liberation Day tariff announcements. Typically, robust local pricing foreshadows a pick-up in retail and institutional demand in China. It can also incentivize physical trade flows onto their onshore market, therefore tightening physical metals supply ex-China. Premiums jumped 0.4 percentage points q/q to average 0.6% through 1Q’26, up from 0.0% in 1Q’25 amid stellar Lunar New Year demand. Despite record prices in both USD and CNY currency terms, Chinese retail imports soared 123% y/y in Jan-Feb 2026 to over 207t, comparing favorably to a trailing 5Y seasonal average of 181t.<sup>8</sup>
- On the central bank front, the People’s Bank of China reported 16 consecutive months of net additions to its official gold reserves, reaching an all-time high of ~2,309t and up from ~2,264t at the start of 4Q’24 when the most recent accumulation cycle began.<sup>9</sup> In addition, as physically backed US listed bullion ETFs posted redemptions of over US\$12.7B in the first four weeks of March, Chinese gold funds posted net inflows of US\$1.1B. While that is not enough to offset Western sales in March, Chinese “dip buying” dampens the ETF outflow effect on pricing.<sup>10</sup> Indeed, mainland China gold ETF inflows of US\$8.1B YTD contrasts with over US\$2.0B outflows in the US gold ETF sector over the same time period.<sup>11</sup> It also illustrates gold as a global asset, underpinned by regional supply/demand dynamics and not just Fed policy or US risk sentiment.

**Figure 2: Real rates repricing and gold's response**

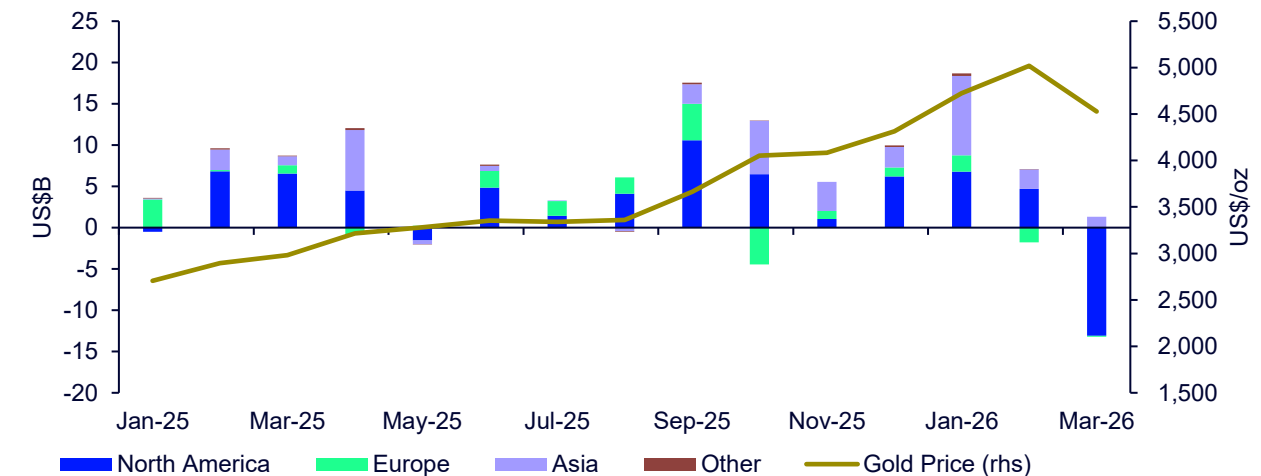


Source: Bloomberg Financial L.P., State Street Investment Management. Data as of March 30, 2026. **The performance data quoted represents past performance. Past performance does not guarantee future results.**

## Why Fed shifts matter for gold performance

- After trending lower into late February, real yields moved sharply higher following the oil-driven inflation shock.<sup>12</sup> US 10-year TIPS have spiked ~30-35 bps since the start of the conflict in early March, testing the 2.0% level for the first time since July 2025.<sup>13</sup> The March correction in gold was largely a function of Fed re-pricing and higher real yields, which supported a stronger US\$. It was probably not a breakdown of the global gold demand thesis driven by debasement concerns and allocations for alt-fiat.<sup>14</sup> Investors should thus be cautious about cyclical pressures (opportunity cost of holding gold has temporarily increased with real yields) against structural dynamics (that in our view, remain largely positive for gold). Tactically, should real rates stabilize or reverse, this dynamic has historically created a supportive backdrop for gold.
- Rising deficits (war spending, higher interest expense, reduced revenue) reinforce a backdrop of elevated debt and long-term currency debasement risk, which historically boosts gold demand. Total global debt has grown to a record ~\$348T or 3-4x world GDP, rising most acutely across government, rather than private sector, debt. This may foreshadow embedded fiscal pressures.<sup>15</sup>
- As discussed earlier, expectations can change quickly in a volatile environments. In 4Q 2018, Fed Chair Powell indicated the neutral rate should be higher, yet subsequently lowered rates in July 2019. Gold appreciated ~11% in the following six months.<sup>16</sup> Similarly, in 2006-2007, Chair Bernanke suggested that risks from subprime mortgages were contained, justifying higher rates. But when valuations collapsed, aggressive rate cuts followed, and gold went on to appreciate 38% over the subsequent six months.<sup>17</sup> Today, after a hawkish pivot in March driven by the oil shock, futures markets reflect the possibility of higher rates in 2026.<sup>18</sup> But if geopolitical tensions ease, market expectations could quickly revert to rate cuts in 2026, creating a very supportive backdrop for gold. Additionally, the transition to a new Fed Chair Warsh, who has been viewed by some to be inclined towards easing, also introduces a policy shift bias that could support gold.

**Figure 3: North American ETF outflows led regional gold fund selling in March**



Source: World Gold Council, State Street Investment Management. Data as of March 30, 2026.

### The reserve-asset role for gold extends beyond ETF flows

- After a historically robust start to the year, physically backed gold ETF holdings fell in March by US\$12.4B (~90t), breaking a ninth consecutive month of inflows and bringing down YTD net flows to US\$11.7B (~57t).<sup>19</sup> We can attribute gold outflows to a broader liquidity squeeze and profit-taking as investors raised cash across liquid alts and hedging sleeves, amid a reassessment of the short-term path for Fed policy and the US dollar. However, we do not view one month of outflows—even sizable outflows—as breaking the broader accumulation trend for investors seeking gold as a global debasement, diversification, alt-fiat, or duration hedge.
- Official sector demand still appears resilient, with February updates continuing to show steady buying from Poland (+20t), Uzbekistan (+8t), Czech Republic (+2t), Malaysia (+2t), and China (+1t).<sup>20</sup> The main exception has been Turkey, one of the world's most aggressive bullion buyers over the past decade, which sold and swapped US\$8B (~60t) of gold to defend the Lira and meet liquidity needs amid war-related volatility, surging energy import costs, and broader funding pressure.<sup>21</sup> Importantly, the response was not limited to gold, with policymakers also offloading ~US\$16B of foreign-currency bonds in prior weeks, including US Treasuries. Turkey's US Treasury holdings stood at less than US\$17B as of end-January, down from US\$82B in 2015.<sup>22</sup>
- Recent developments reinforce gold's strategic role as a reserve asset and may prove incrementally bullish for official sector demand over time. Turkey's use of gold reserves highlights its efficacy as a source of liquidity to help shore up the economic costs of conflict. In France, a one-time mark-up on gold reserves, helped the Bank of France swing to an €8.1B profit in 2025, boosted by an €11B capital gain from gold transactions.<sup>23</sup> Russia offers another example of gold providing fiscal space, with the central bank reportedly selling 14t over January and February to help plug a widening military-driven budget deficit.<sup>24</sup> Together, these developments underscore gold's utility in a more geopolitically fragmented world, reinforcing its value as a source of liquidity, balance sheet support, and insulation from external policy risk.

## Footnotes

1 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

2 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

3 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

4 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

5 Source: CBO, as of 02/28/2026

6 Source: China Customs, World Gold Council, State Street Investment Management, as of 03/31/2026

7 Source: SGE, LBMA, State Street Investment Management, as of 03/31/2026

8 Source: China Customs, State Street Investment Management, as of 03/31/2026

9 Source: People's Bank of China, State Street Investment Management, as of 02/28/2026

10 Source: World Gold Council, State Street Investment Management, as of 03/31/2026

11 Source: World Gold Council, Bloomberg Financial L.P., State Street Investment Management, as of 03/30/2026

12 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

13 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

14 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

15 Source: Institute for International Finance, IMF, World Bank, State Street Investment Management, as of 12/31/2025

16 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

17 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

18 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

19 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/30/2026

20 Source: World Gold Council, State Street Investment Management, as of 03/10/2026

21 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/31/2026

22 Source: Bloomberg Financial L.P., State Street Investment Management, as of 01/31/2026

23 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/24/2026

24 Source: Bloomberg Financial L.P., State Street Investment Management, as of 03/25/2026

## Glossary

**Central Bank:** A financial institution given privileged control over the production and distribution of money and credit for a nation or a group of nations.

**COMEX:** The main futures market for trading metals, including gold, silver, copper, and aluminum.

**Gold Spot Price:** The price in spot markets for gold. In US dollar terms, spot gold is referred to with the symbol “XAU,” which refers to the price of one troy ounce of gold in USD terms.

**Real Rates:** The Interest rate after adjusting for inflation. It reflects the true cost of borrowing and the actual yield on investments by stripping out the effects of rising prices.

**ICE Brent:** Brent crude oil futures traded on ICE, one of the main global benchmark prices for internationally traded crude oil.

**Left Tail Hedge:** A portfolio position designed to protect against extreme negative market outcomes, such as equity market drawdowns, policy shocks, or currency instability. Gold is often considered a left tail hedge due to its historical performance during systematic stress events.

**Rolling 30-day volatility:** Measures the annualized standard deviation of an asset's daily returns over the preceding 30-day period, updated daily to show shifting risk. It quantifies how drastically a price moves, with higher values indicating greater risk.

**Debasement:** A reduction in the real value or purchasing power of a currency, usually caused by inflation, excessive money creation, or policies that weaken its value over time.

**Hawkish pivot:** A shift in central bank or policy communication toward tighter monetary policy, usually signaling higher interest rates, fewer rate cuts, or a stronger focus on containing inflation.

**Alt-fiat:** A non-traditional fiat currency used as an alternative to the dominant reserve currencies, especially the U.S. dollar.

**People's Bank of China:** China's central bank, responsible for monetary policy, currency management, and financial system oversight.

**CNY:** Shorthand for the Chinese yuan, also called the renminbi, in the onshore foreign exchange market.

**Lira:** The currency of Turkey, formally called the Turkish lira. In macro discussions, it is often referenced as an example of a currency that has faced sharp depreciation and inflation pressure.

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